

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

TOYOTA DE PUERTO RICO, CORP.

Complainant

v.

PUERTO RICO PORTS AUTHORITY;
CROWLEY PUERTO RICO SERVICES;
AND OCEANIC GENERAL AGENCY INC.

Respondents

Docket No. 19-02

**OPPOSITION TO THE PUERTO RICO PORTS AUTHORITY'S
MOTION TO DISMISS**

TO THE HONORABLE ERIN M. WIRTH, Administrative Law Judge:

COMES NOW, Complainant, Toyota de Puerto Rico Corp., (herein after "Toyota") by and through the undersigned attorneys, and very respectfully submits this Opposition to the Puerto Rico Ports Authority's Motion to Dismiss.

I. SUMMARY OF THE ARGUMENT

Toyota seeks reparations for the damages caused by the Puerto Rico Ports Authority ("PRPA"), in conjunction with Crowley Puerto Rico Services, Inc. ("Crowley") and Oceanic General Agency, Inc. ("Oceanic") in the unfair and unjustly discriminatory imposition and collection of the Enhanced Security Fee ("ESF"). PRPA's argument for dismissal are unavailing.

First, Toyota has standing to bring this action because its injuries are concrete, particularized and actual, fairly traceable to the respondents, and likely to be redressed through monetary award. *See, Lujan v. Defs. of Wildlife*, 504 U.S. 555 (1992).

Second, it has been consistently held by this Commission, that PRPA is a marine terminal operator (“MTO”) under the Shipping Act. As such, it is subject to this Commission’s jurisdiction, regardless of Crowley and Oceanic’s status as common carriers, because it is the operator of the port of San Juan in connection with other common carriers.

Third, the claim is not time-barred because it is based on a continuing violation whose statute of limitations was tolled by *Dantzler, Inc., et. al. v. PRPA*, 335 F.Supp. 3rd 226 (DPR 2018), a class action based on the same facts that underlie the captioned complaint.

Finally, as it has been previously held by this Commission, PRPA is not considered an arm of the State. Therefore, it is not entitled to the Eleventh Amendment Immunity.

II. DISCUSSION

A. TOYOTA HAS STANDING TO PURSUE THE PRESENT ACTION.

In its Motion to Dismiss (“MTD”), PRPA argues that Toyota does not have standing to pursue the present action. PRPA argues that it charged the ESF to “shipping operators”, not shippers, and that Toyota has not met the burden of showing causality. It invokes Rule 12(b)(1) of the Federal Rules of Civil Procedure to dismiss the Complaint. PRPA raised the same argument unsuccessfully in *Dantzler, Inc., et. al. v. PRPA*, 335 F.Supp. 3rd 226 (DPR 2018) (rejecting PRPA’s argument that shippers who paid the unconstitutional ESF charged by ocean carriers lacked standing to demand redress). This argument failed PRPA before and must fail it now.

To establish standing, a plaintiff must demonstrate three elements: “[f]irst, the plaintiff must have suffered an injury in fact,” “[s]econd, there must be a causal connection between the injury and the conduct complained of,” and “[t]hird, it must be likely, as opposed to merely speculative, that the injury will be redressed by a favorable decision.” *Lujan v. Defs. of Wildlife*,

supra. The element of causality may be established when a plaintiff is not the direct “object of the government action,” because “even harms that flow indirectly from the action in question can be said to be ‘fairly traceable’ to that action for standing purposes.” *Id.*, citing *Lujan*, 504 U.S. at 562, and *Focus on the Family*, 344 F.3d at 1273.

Here, as concluded by the *Dantzler* court, Toyota established an “adequate ‘casual connection between the challenged action and the identified harm’ because the enhanced security fees it paid are ‘fairly traceable’ to the defendants.” *Id.* at 241. As PRPA admits in its MTD, PRPA charged the unconstitutional ESF to the ocean carriers, who in turn collected them from Toyota, who paid them. Toyota, therefore, and not the co-defendants, suffered the harm. This harm is easily quantifiable from the invoices and payment history. Moreover, because Toyota paid the fee, Toyota acquired from the co-defendants who invoiced it the right to claim its refund from PRPA. Because Toyota’s injuries are concrete, particularized and actual, fairly traceable to the defendants, and “likely” to be redressed through monetary award, it has standing to bring this action. Therefore, PRPA’s standing argument must be denied. See also *Sprint Commc’n Co. v. APCC Servs., Inc.*, 554 U.S. 269, 290 (2008) (holding that, though plaintiffs were suing on the basis of injuries originally suffered by third parties, they had standing to bring the claims because they had acquired by assignment the “rights, title and interest” in the claim based on those injuries.)¹

¹ Even if Toyota’s right to claim were deemed to be indirect, this case does not present the risk of double recovery and remoteness that has led some courts to disfavor indirect standing. See e.g. *In re Pharm. Indus. Average Wholesale Price Litig.* 339 F. Supp. 2d 165, 176 (D. Mass. 2004), on which PRPA relies. Toyota paid the fee, not the co-defendants. So co-defendants did not suffer harm that they can now recover as double recovery from PRPA. Also, because the co-defendants invoiced the fee per ton as set by PRPA’s Regulation 8067, the causal link between Regulation 8067 and the harm suffered by Toyota is not too remote, but instead quite immediate. Compare *Air Transp. Ass’n of Am., Inc. v. Jordan*, No. 3:16-CV-00230-HZ, 2016 WL 9000276, at *5 (D. Or. May 30, 2016) (rejecting standing where the Port independently decided to pass along a portion of certain fees to the airlines.), cited by the PRPA.

B. THE COMMISSION HAS JURISDICTION OVER MARINE TERMINAL OPERATORS SUCH AS PRPA.

PRPA posits that, in this specific case, “PRPA is not deemed a “marine terminal operator” as it relates to Toyota, since Crowley² and Oceanic have clearly established they are not common carriers within the definition of the Shipping Act.” MTD, at page 7. The argument is clearly unavailing. A marine terminal operator is not deemed a marine terminal operator in some instances and not in others. That is, whenever a “person” fits the definition under the Shipping Act it is deemed a marine terminal operator as to any instance.

Under the Shipping Act, a “marine terminal operator” means “a person engaged in the United States in the business of furnishing wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier, or in connection with a common carrier and a water carrier . . .” 46 U.S.C. § 40102(14). In previous cases before this Honorable Commission, PRPA has admitted that it operates the port of San Juan. *Crowley Liner Services, Inc., et. al. v. Puerto Rico Ports Authority*, 2001 WL 1632555 (2001 F.M.C.); Docket No. 00-02, September 20, 2001, at *8.

It has been long held by this Honorable Commission that PRPA is a marine terminal operator within the definition of the Shipping Act. “PRPA has been involved in litigation before this Commission for many years and has been continually found to be a marine terminal operator...”. *Crowley Liner Services, Inc., et. al. v. Puerto Rico Ports Authority, supra, citing, J.M. Altieri v. P.R.P.A.*, 7 F.M.C. 416, 417 (1962) (PRPA is “a public body that operates a marine terminal at San Juan, Puerto Rico”); *Puerto Rico Ports Authority v. F.M.C.*, 642 F.2d 471, 485 (D.C. Cir. 1980) (“The Ports Authority, as a provider of terminal facilities, is clearly subject to

² In Toyota's Opposition to Crowley's Motion to Dismiss and/or For Summary Judgment we extensively discussed that Crowley is a common carrier within the definition of the Shipping Act. See, Opposition, at pages 3-5.

section 17 [of the Shipping Act, 1916] as an 'other person subject to this chapter.'"); *Puerto Rico Shipping Association v. PRPA*, 27 S.R.R. 645,649 (1996).

Even if PRPA's argument that Crowley and Oceanic are not common carriers was true, PRPA would still be considered an MTO, as operator of the port of San Juan in connection with other common carriers. PRPA's argument must be denied.

C. THE STATUTE OF LIMITATIONS IS TOLLED UNDER *IN RE VEHICLE CARRIER SERVICES*³.

The Shipping Act precludes recovery of damages suffered more than three years after the claim accrues.⁴ However, Toyota's claims are not time barred, for two reasons.

First, the continuing violation doctrine, which is infused in Commission precedent, applies to the conduct underlying this case. Under that doctrine, "any unlawful act which continues becomes not one act but a series of individual actions each time it is enforced, and the statute of limitations is to be measured against each act giving rise to an alleged new injury."⁵

To establish a continuing violation, a plaintiff must first show that the conduct took place "over a series of days or perhaps years."⁶ Next, it must demonstrate "that an unlawful act occurred or that an illegal policy existed within the period prescribed by the statute [of limitations]." *Ruiz-Casillas v. Camacho-Morales*, 2004 WL 3622480, at *5 (D.P.R. Apr. 27, 2004).

The Commission has adopted a flexible policy towards the statute of limitation period. In *Maher, supra*, the Commission stated that:

³ 2018 WL 3738501, Docket Nos. 16-01, 16-07, 16-10, and 16-11.

⁴ 46 U.S.C. §41301.

⁵ *Maher Terminals, LLC v. The Port of New York and New Jersey*, 2011 WL 7144003; Docket No. 08-03 (2011 F.M.C.) at*28-29. See also, *Seatrains, Inc., v. Puerto Rico Maritime Shipping Auth.*, 18 S.R.R. 1079 (1979 ALJ) (denying motion to dismiss on statute of limitations grounds, because Complainant had alleged continuing discriminatory conduct, with each "new act giving rise to alleged injury".) See also *FIAT Chrysler v. Wallenius*, 2011 WL 551713; Docket No. 17-09 (2018 F.M.C.).

⁶ *Tobin v. Liberty Mut. Ins. Co.*, 553 F.3d 121, 130 (1st Cir. 2009) (quoting *Nat'l R.R. Passenger Corp. v. Morgan*, 536 U.S.101, 117 (2002)).

“[t]here are compelling reasons suggesting that a flexible approach to the accrual of a cause of action is the better course of action. The Commission has an interest in the precedent established by its adjudication of alleged Shipping Act violations such adjudication is a form of private enforcement of the rights established by Congress in the statute. Based on this understanding of the Act, **a flexible rule permitting the inclusion of complaints that would otherwise be dismissed under a more strict approach would allow the Commission to pass on the legality of allegedly injurious conduct.**” *Id.*, at *11.

In the instant action, respondents incurred in continuous unreasonable practices by recurrently collecting from Toyota the ESF for several years even after the ESF was declared to be in violation of the Commerce Clause as applied to companies who derived no actual or potential benefit from the scanning process.⁷ Collection of the ESF configures a continuing violation, so that each time the fee was collected, there was a new discriminatory act that triggered a new injury with its own statute of limitations.⁸

Second, a class action pending in federal court filed on April 5, 2017 and based on the same facts as the instant claims under the Shipping Act, tolled the statute of limitations under the rule set forth in *American Pipe & Construction Co. v. Utah*⁹. That rule was adopted by this Commission on Oral Argument last June 30, 2018, in *IN RE VEHICLE CARRIER SERVICES, supra*, pp. 18

Dantzler, Inc., et. als. v. PRPA, et. als. was filed on behalf of all shippers in Puerto Rico who have paid and will continue to pay ESFs, such as Toyota, to seek “monies paid pursuant to the unlawful conduct [...], all damages recoverable under applicable law”, among other remedies. Toyota’s claims of Shipping Act violations are based, precisely, on the continued collection of the ESF at issue in *Dantzler*. Accordingly, it benefits from the American Pipe rule whereby the

⁷ *Camara de Mercadeo, Industria, y Distribucion de Alimentos v. Vazquez*, 2013 WL 5652076, at *11-12 (D.P.R. Oct. 16, 2013), *aff’d sub nom. Industria y Distribucion de Alimentos v. Trailer Bridge*, 797 F.3d 141 (1st Cir. 2015).

⁸ *Dantzler, Inc., et. al. v. PRPA*, 335 F.Supp. 3rd 226, 251-252, *citing González García v. P.R. Elec. Power Auth.*, 214 F.Supp.2d 194, 200-201 (D.P.R. 2002).

⁹ *American Pipe & Construction Co. v. Utah*⁹. 414 U.S. 538 (1973).

Dantzler federal class action complaint tolls the statute of limitations for the Shipping Act violations claimed in the captioned complaint.

Because of the above, Toyota's claims are not time barred.¹⁰

D. PRPA IS NOT AN ARM OF THE STATE AND IS NOT ENTITLED TO SOVEREIGN IMMUNITY

As it had done before in other cases before this Commission, PRPA contends that it is entitled to absolute sovereign immunity from this action pursuant to the Eleventh Amendment of the United States Constitution. However, this Commission has consistently held that "PRPA is not entitled to sovereign immunity". *Odyssea Stevedoring of Puerto Rico, Inc. v. PRPA*, 2007 WL 6666764, Docket Nos. 02-08, 04-01, 04-06 (F.M.C. 2007).

Sovereign immunity "bars" private parties from "adjudicating claims [...] against a nonconsenting State." *Fed. Mar. Comm'n v. S.C. Ports Auth.*, 535 U.S. 743, 760 (2002). The Eleventh Amendment provides sovereign immunity for "the states themselves and entities that are determined to be arms of a state." *Pastrana-Torres v. Corporación de P.R. para la Difusión Pública*, 460 F.3d 124, 126 (1st Cir. 2006). An entity that invokes sovereign immunity "bears the burden of showing that it is an arm of the state." *Wojcik v. Mass. St. Lottery Comm'n*, 300 F.3d 92, 99 (1st Cir. 2002) (citation omitted).

In the past, PRPA has failed to demonstrate that it is an arm of the state in cases before the FMC and before the federal courts. Therefore, it is not entitled to sovereign immunity. "PRPA's enabling act "does not by its terms structure [PRPA] to be an arm of the state." *Fresenius v. PRPA*, 322 F.3d 56, 68 (1st Cir. 2003); *see also, Odyssea Stevedoring of Puerto Rico, Inc., supra, Grajales v. PRPA*, 831 F. 3d 11 at 21-22 (1st Cir. 2016), and *Dantzler, supra*.

¹⁰ At a minimum, Toyota is entitled to restitution dating back to three years from the date *Dantzler* was filed, from April 4, 2014 forward.

According to PRPA's enabling act, PRPA is a "public corporation" with a "legal existence and personality separate and apart from those of the Government and any officials thereof." P.R. Laws Ann. tit. 23, § 333(a)-(b) (emphasis added). "This language strongly suggests that PRPA is not an arm of the state". *Dantzer, supra, citing, Grajales, supra*. "[W]hen Puerto Rico has chosen to make an entity an arm of the state, it has used other language." *Fresenius, supra* at 68. Also, the First Circuit has held that PRPA fails to demonstrate that its actions pose financial risks to the Commonwealth of Puerto Rico. *Grajales, supra*. Because the Commonwealth would not be liable for a judgment against PRPA in this action, PRPA is not entitled to immunity from this case. Consequently, the Court should deny PRPA's absolute immunity defense. *Dantzer, supra*, p. 244.

III. STANDARD OF REVIEW FOR A MOTION TO DISMISS

Rule 12 of the Commission's Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. It has been held that because the Commission's Rules do not address motions to dismiss for lack of subject matter jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply.¹¹

When considering a motion to dismiss under Rules 12(b)(1) and (6), the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged [...] in the complaint as true.¹²

¹¹ *Mitsui O.S.K. Lines LTD. v. Global Link Logistics*, 2011 WL 7144008 (2011 F.M.C.), Docket No. 09-01 at *11; citing also, *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431; Docket No. 06-02 (2007 F.M.C.).

¹² *Id.*, citing, *Sinaltrainal v. Coca-Cola Company*, 578 F.3d 1252, 1260 (11th Cir. 2009).

To survive a motion to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.”¹³ A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.”¹⁴ The complaint must be sufficient to “give the defendant fair notice of what the ... claim is and the grounds upon which it rests.”¹⁵

As discussed above, the Complaint in this case meets the burdens established by *Twombly* and *Iqbal*. The request for dismissal must be denied.

IV. CONCLUSION

PRPA's Motion to Dismiss should be denied in its entirety because:

1. Toyota has standing to bring this action because its injuries are concrete, particularized and actual, “fairly traceable” to the defendants, and “likely” to be redressed through monetary award,
2. PRPA is a marine terminal operator within the definition of the Shipping Act, even if Crowley and Oceanic are not deemed to be common carriers,
3. The illegal collection of the ESF configures a continuing violation whose statute of limitation was tolled by the class action complaint in *Dantzler, Inc., supra*;
4. PRPA is not an arm of the State and is not entitled to sovereign immunity under the Eleventh Amendment.

V. PRAYER FOR RELIEF

¹³ *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007).

¹⁴ *Ashcroft v. Iqbal*, 129 S. Ct. 1937, 1949 (2009).

¹⁵ *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) (“[T]he test of a complaint's sufficiency simply is whether the document's allegations are detailed and informative enough to enable the defendant to respond.”).

WHEREFORE, Toyota requests that PRPA's Motion to Dismiss be denied in its entirety.

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico.

March 29, 2019.

CERTIFICATE OF SERVICE

We hereby certify that on this same date we served a copy of the foregoing document upon each and all parties of record through their respective attorneys by electronic mailing to the following addresses:

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